Financial performance

(₹ In Crore)

Particulars	Standalone		Consolidated	
	FY2025	FY2024	FY2025	FY2024
Total revenue	51,431.25	46,087.68	52,468.96	46,306.45
Total expenses	40,379.36	36,265.67	41,329.95	36,534.00
Share of profit/(loss) of associate	-	-	(915.48)	267.59
Profit before tax	**11,051.89**	**9,822.01**	**10,223.53**	**10,040.04**
Tax expense	2,689.21	2,343.22	2,687.54	2,331.80
Deferred Tax- exceptional item	211.26	-	211.26	-
Profit for the year	**8,151.42**	**7,478.79**	**7,324.73**	**7,708.24**
Basic Earnings per share (₹)	**292.1**	**264.6**	**262.4**	**272.7**
Diluted Earnings per share (₹)	**291.5**	**264.3**	**262.0**	**272.4**

Closing balances in reserve/other equity

(₹ In Crore)

Particulars	Standalone		Consolidated	
	FY2025	FY2024	FY2025	FY2024
General reserve	6,389.60	6,389.60	6,389.60	6,389.60
Retained earnings	22,419.94	16,416.32	24,498.81	19,666.70
Cash flow hedging reserve	-	-	(24.28)	-
Statutory Reserve	-	-	11.66	-
Foreign exchange difference of subsidiary on paid-up capital	-	-	0.27	0.28
Foreign currency translation reserve	-	-	911.75	787.95
FVTOCI reserve	2,871.20	1,665.71	2,871.59	1,665.71
Capital reserve	-	-	63.14	63.14
Securities premium	115.57	86.31	115.57	86.31
Capital redemption reserve	10.41	10.41	10.41	10.41
Share based payments reserve	99.44	102.46	99.44	102.62
Treasury shares	(38.48)	(89.49)	(38.48)	(89.49)
Total	**31,867.68**	**24,581.32**	**34,909.48**	**28,683.23**

Note: Detailed movement of above reserves can be seen in *'Statement of Changes in Equity'* in the financial statements, which forms part of this Annual Report.

Dividend Distribution Policy

The Dividend Distribution Policy of your Company sets out the parameters and circumstances that will be considered by the Board in determining the distribution of dividend in terms of regulation 43A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('the Listing Regulations, 2015').

Pursuant to the provisions of the said regulation, the latest amended policy is available on the Company's website at https://www.bajajauto.com/investors/policies-codes

Dividend

Considering your Company's outstanding financial performance and to upkeep the consistent track record of rewarding its shareholders with a generous dividend payout, the Board is pleased to recommend for consideration of the shareholders at the ensuing Annual General Meeting ('AGM'), payment of dividend of ₹ 210 per equity share of ₹ 10 each (2100%) for the year ended 31 March 2025 totalling to ₹ 5,864 crore.

The dividend recommended is in accordance with the principles and criteria as set out in the Dividend Distribution Policy of the Company.

The said dividend, if approved by the members at the ensuing AGM will be paid to those members whose name appears on the Register of Members (including Beneficial Owners) of the Company as at the end of 20 June 2025 and will be subject to deduction of tax at source at prescribed rates pursuant to the Income Tax Act, 1961. For further details on taxability, please refer to the Notice of ensuing AGM.

Changes in Share Capital

The changes in the share capital structure of your Company during the year under review are detailed as under:

Allotment of Equity Shares under the Bajaj Auto Employee Stock Option Scheme 2019 ('the Scheme')

The Company issued and allotted 77,852 equity shares of face value of ₹ 10 each on 23 August 2024 to the Bajaj Auto ESOP Trust in accordance with the Scheme. The equity shares so allotted rank *pari-passu* with the existing shares of the Company.

Consequently, the issued, subscribed and paid-up share capital of the Company was at ₹ 279.26 crore comprising of 279,257,608 equity shares of face value of ₹ 10 each as on 31 March 2025, as against ₹ 279.18 crore comprising of 279,179,756 equity shares of face value of ₹ 10 each as on 31 March 2024. The Company has only one class of equity shares.

Except as stated above, there were no other changes in the share capital of the Company during the year.

Credit Rating

The Company has neither issued any debt instruments nor undertaken any fixed deposit programme or any scheme or proposal involving mobilisation of funds, whether in India or abroad. However, during the financial year 2024-25, CRISIL Ratings has affirmed its long-term rating of 'CRISIL AAA' and short-term rating of 'CRISIL A1+' with 'Stable' outlook for the bank loan facilities of the Company and India Ratings and Research (Ind-Ra) has also rated its long-term rating of 'IND AAA' and short-term rating of 'IND A1+' with 'Stable' outlook for the bank loan facilities of the Company.

Operations

Detailed information on the Company's operations is provided in the report on *Management Discussion and Analysis,* which forms part of this Annual Report.

Capacity Expansion and New Projects

The Company's current installed capacity is 7.2 million units per annum.

Detailed information on capacity expansion and new projects is covered in the report on *Management Discussion and Analysis,* which forms part of this Annual Report.

Statement of Profit and Loss

(₹ In Crore)

Particulars	Note No.	For the year ended 31 March 2025	2024
Revenue from contracts with customers		48,247.22	43,578.87
Other operating revenue		1,763.09	1,106.36
Revenue from operations	23	50,010.31	44,685.23
Other income	24	1,420.94	1,402.45
Total income		**51,431.25**	**46,087.68**
Expenses			
Cost of raw materials and components consumed		32,265.79	29,268.59
Purchase of traded goods		3,036.47	2,545.30
Changes in inventories of finished goods, work–in–progress and traded goods	25	35.18	(70.45)
Employee benefits expense	26	1,579.44	1,537.56
Finance costs	27	67.72	53.50
Depreciation and amortisation expense	28	400.09	349.84
Other expenses	29	3,044.34	2,628.86
Expenses, included in above items, capitalised		(49.67)	(47.53)
Total expenses		**40,379.36**	**36,265.67**
Profit before tax		**11,051.89**	**9,822.01**
Tax expense			
Current tax		2,559.04	2,283.60
Deferred tax		130.17	59.62
Deferred tax– Exceptional Item		211.26	–
Total tax expense	30	**2,900.47**	**2,343.22**
Profit for the year		**8,151.42**	**7,478.79**

Statement of Profit and Loss (Contd.)

(₹ In Crore)

Particulars	Note No.	For the year ended 31 March 2025	2024
Other comprehensive income			
Items that will not be reclassified to profit or loss			
Actuarial gains/(losses) of defined benefit plans		23.72	35.48
Tax impact on above		(5.97)	(8.93)
Changes in fair value of FVTOCI equity instruments		1,474.17	831.82
Tax impact on above	45m	(268.68)	(93.24)
Items that will be reclassified to profit or loss			
Valuation gains/(losses) on derivative hedging instruments		–	–
Tax impact on above		–	–
Other comprehensive income for the year (net of tax)		**1,223.24**	**765.13**
Total comprehensive income for the year		**9,374.66**	**8,243.92**
Earnings per share (in ₹)	31		
Basic Earnings per share (in ₹)		292.1	264.6
Diluted Earnings per share (in ₹)		291.5	264.3
(Nominal value per share ₹ 10)			
Summary of material accounting policies followed by the Company	1		

The accompanying notes are an integral part of the financial statements.

On behalf of the Board of Directors

As per our report of even date

For S R B C & CO LLP
Chartered Accountants
ICAI Firm Registration Number: 324982E/E300003

Niraj Bajaj
Chairman
(DIN: 00028261)

Rajiv Bajaj
Managing Director
(DIN: 00018262)

Dinesh Thapar
Chief Financial Officer

per Paul Alvares
Partner
Membership Number: 105754
Pune: 29 May 2025

Rajiv Gandhi
Company Secretary

Anami N. Roy
Chairman - Audit Committee
(DIN: 01361110)

30 Tax expense

(₹ In Crore)

Particulars	For the year ended 31 March 2025	2024
(a) Tax expense		
Current tax		
Current tax on profits for the year	2,559.04	2,283.60
Deferred tax		
Decrease/(increase) in deferred tax assets	10.28	(11.87)
(Decrease)/increase in deferred tax liabilities	331.15	71.49
Total deferred tax expense/(benefit)	341.43	59.62
Tax expenses	2,900.47	2,343.22
(b) Reconciliation of tax expenses and the accounting profit multiplied by India's tax rate		
Profit before tax	11,051.89	9,822.01
Tax at the Indian tax rate of 25.17% (Previous year - 25.17%)	2,781.54	2,472.00
Tax effect of amounts which are not deductible (taxable) in calculating taxable income:		
- Corporate social responsibility expenditure and donations	45.89	33.15
- Rate difference in amortisation of fixed income securities	(0.47)	(2.58)
- Others	26.86	22.97
- One time impact due to change in tax rates *	211.26	–
Tax effect of amounts which are deductible (non taxable) in calculating taxable income:		
- Dividend received on strategic investment	(7.58)	(10.84)
- Profit on investments not taxable	(153.07)	(28.83)
- Income from fair valuation of mutual funds	(3.10)	(142.73)
- Disallowance of expenditure incurred on rented property (net)	(0.86)	0.08
Tax expense	2,900.47	2,343.22

* The Company invests its surplus funds into a range of asset classes including debt mutual funds, index funds and fixed maturity plans. In compliance with Ind AS 12, the Company was making accounting provisions for Deferred Tax as per applicable law (taking cognizance of the indexation impact) on changes in fair value on these investments.

The Finance (No. 2) Act, 2024 withdrew the indexation benefit on long-term capital gains on debt mutual funds which were purchased prior to 1 April 2023 and the tax rate with respect to long-term capital gains for the said asset class was changed from 20% plus surcharge and cess (with indexation) to 12.5% plus surcharge and cess (without indexation).

Due to withdrawal of the indexation benefit and change in tax rate, the accounting provision for Deferred Tax created on Investment Income has been consequently increased by ₹ 211.26 crore as a cumulative one-time provision while computing the profit after tax for the reporting period.

It is to be noted that only a provision is being made in the books of accounts at this point of time to record the Deferred Tax in line with the applicable accounting standards and the recently enacted tax change. The actual payment of tax would be made at the time of redemption of this asset class. The cash outflow towards tax could be different at the time of redemption depending on the actual gain and prevailing tax regulations.

Notes to standalone financial statements for the year ended 31 March 2025 (Contd.)

31 Earnings Per Share (EPS)

Basic EPS are calculated by dividing the profit for the year attributable to owners of the Company by the weighted average number of Equity shares outstanding during the year.

Diluted EPS are calculated by dividing the profit attributable to owners of the company by the weighted average number of Equity shares outstanding during the year plus the weighted average number of Equity shares that would be issued on conversion of all the dilutive potential Equity shares into Equity shares.

Particulars	For the year ended 31 March 2025	2024
a. Profit for the year (₹ In Crore)	8,151.42	7,478.79
b. Weighted average number of shares outstanding during the year (Nos)	279,103,387	282,695,661
Effect of dilution: Employee stock options	511,554	279,457
c. Weighted average number of equity shares for diluted earnings per share	279,614,941	282,975,118
Earnings per share (Basic) ₹ (a/b)	292.1	264.6
Earnings per share (Diluted) ₹ (a/c)	291.5	264.3
Face value per share ₹	10.0	10.0

Independent Auditors' Report on the Consolidated Financial Statements (Contd.)

Key audit matter	How our audit addressed the key audit matter
a. KTM AG recognised impairment losses on certain assets, consequent to decisions forming part/ consequent to restructuring proceedings. b. The restructuring proceedings also resulted into the creditors agreeing to receive a cash quota of 30% of their claims in the form of a one-off payment. The determination of timing of recognition of gain on creditors liabilities involves significant judgment. c. The Group assessed the carrying amount of the investment in PBAG consequent to the above developments. The processes and methodologies for assessing and determining the recoverable amount of investment in are based on complex assumptions and require use of significant management's judgment, (such as estimating future cashflows and determining applicable discount rates) As a result, the Group has recognised a net share of loss of associate of ₹ 915.48 crore (Refer Note 42b) in the consolidated financial statements. We identified this as a key audit matter in our audit of the consolidated financial statements considering the magnitude, complexity and judgment required in estimating the cash flows and the complexity of the assumptions used.	• Obtained the computation of gain towards write back of creditor liabilities on account of settlement of creditors and assessed whether it satisfies the condition pursuant to the Court's Orders. • Obtained the underlying workings of investment in associate as appearing in the consolidated financial statements and assessed the same is in accordance with the requirements of Ind AS. • Obtained financial projections based on approved business plans/ budgets used for computation of value in use for the purpose of determining recoverable amount. • Assessed and evaluated the key assumptions (such as cashflow forecasts and discount rates) used to determine the recoverable amounts of the associate. • Involved valuation experts to assist in evaluating the valuation methodology, identifying and testing key assumptions and estimates and to test the reasonableness of key assumptions used in preparing the cash flow forecasts. • Performed sensitivity testing of key assumptions used. • Assessed the arithmetical accuracy of the models and the computation of impairment loss. • Assessed the disclosures in the consolidated financial statements for compliance with the relevant accounting standard requirements.
Impairment of Loans to customers under financing activity based on expected credit loss model (as described in note 6 of the consolidated financial statements)	
Loans to customers under financing activity, represents a significant portion of the total assets of the Group and are conducted through Bajaj Auto Credit Limited ('BACL'), a wholly owned subsidiary. The Group has Loans to customers under financing activity aggregating to ₹ 9,392.95 crore as at 31 March 2025. As per the expected credit loss model of the Group developed in accordance with the principles set out in Ind-AS 109 on Financial Instruments, the Group is required to estimate the expected loss based on past experience and future considerations. This involves a significant degree of estimation and judgments, including for portfolio segmentation, determination of staging of financial assets; estimation of probability of defaults, loss given defaults, exposure at defaults; and forward-looking factors in estimating the expected credit losses (ECL). In view of the high degree of management's judgment involved in estimation of ECL and the overall significance of the impairment loss allowance to the consolidated financial statements, it is considered as a key audit matter.	Our audit procedures and/or procedures performed by independent auditor of the subsidiary amongst others included the following: • Read and assessed the Group's accounting policies for impairment of financial assets and their compliance with Ind AS 109 and the governance framework approved by the subsidiary's Board of Directors pursuant to Reserve Bank of India guidelines. • Evaluated design and implementation and tested operating effectiveness of control over the Group's process of impairment of loans to customers. • Evaluated the reasonableness of the Management estimates by understanding the process of ECL estimation and related assumptions and tested the controls around data extraction and validation. • Assessed the criteria for staging of loans based on their past-due status to check compliance with requirement of Ind AS 109. Tested a sample of performing loans to assess whether any significant increase in credit risk (SICR) or loss indicators were present requiring them to be classified under higher stages. • Obtained an understanding of the methodology adopted by management to determine probability of defaults, loss given defaults and exposure at default for various loans products and tested the same on a sample basis. • Tested the inputs used on a sample basis and tested the arithmetical accuracy of the ECL computation. • Assessed disclosures included in the consolidated financial statements in respect of expected credit losses.

Independent Auditors' Report on the Consolidated Financial Statements (Contd.)

Key audit matter	How our audit addressed the key audit matter
Accounting for income from Production Linked Incentive (as described in note 7 and note 23 of the consolidated financial statements)	
The Company recognises Production Linked incentives ('PLI') receivable from the Government of India amounting to ₹ 467 crore as per the relevant schemes, notifications and policies issued from time to time. Recognition of PLI income and assessment of its recoverability is subject to significant judgments arising out of conditions of PLI scheme for Automobile and Auto Component Industry (including Standard Operating Procedures (SOPs)) and interpretation of various notifications of respective Government authorities. Accordingly, considering the magnitude and judgments involved in arriving at recognition criteria, this matter has been determined to be a key audit matter.	Our audit procedures amongst others included the following: • Read the relevant schemes, notifications and policies issued by respective Government authorities. • Obtained and tested the computation of PLI income prepared by Management. • Evaluated the Management's assessment regarding compliance with the relevant conditions as specified in the relevant notifications and policies including compliance with relevant accounting standards. • Assessed the disclosures in the consolidated financial statements for compliance with relevant standards.

Other information

The Holding Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Chairman's letter, Management Discussion and Analysis, Business Responsibility and Sustainability Report, Corporate Governance and Directors' Report, but does not include the consolidated financial statements and our auditor's report thereon. Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether such other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management for the consolidated financial statements

The Holding Company's Board of Directors is responsible for the preparation and presentation of these consolidated financial statements in terms of the requirements of the Act that give a true and fair view of the consolidated financial position, consolidated financial performance including other comprehensive income, consolidated cash flows and consolidated statement of changes in equity of the Group including its associate in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended. The respective Board of Directors of the companies included in the Group and of its associate are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of their respective companies and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated financial statements by the Directors of the Holding Company, as aforesaid.

In preparing the consolidated financial statements, the respective Board of Directors of the companies included in the Group and of its associate are responsible for assessing the ability of their respective companies to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those respective Board of Directors of the companies included in the Group and of its associate are also responsible for overseeing the financial reporting process of their respective companies.

Auditor's Responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable

Consolidated Statement of Profit and Loss

(₹ In Crore)

Particulars	Note No.	For the year ended 31 March 2025	2024
Revenue from contracts with customers		49,266.95	43,782.08
Other operating revenue		1,727.60	1,088.35
Revenue from operations	23	50,994.55	44,870.43
Other income	24	1,474.41	1,436.02
Total income		**52,468.96**	**46,306.45**
Expenses			
Cost of raw materials and components consumed		32,194.31	29,267.47
Purchase of traded goods		3,036.47	2,702.10
Changes in inventories of finished goods, work-in-progress and traded goods	25	28.41	(76.34)
Employee benefits expense	26	1,925.80	1,627.00
Finance costs	27	388.90	60.36
Depreciation and amortisation expense	28	414.23	364.77
Other expenses	29	3,439.05	2,636.17
Expenses, included in above items, capitalised		(97.22)	(47.53)
Total expenses		**41,329.95**	**36,534.00**
Share of profits/(loss) of associate	42b	(915.48)	267.59
Profit before tax		**10,223.53**	**10,040.04**
Tax expense			
Current tax		2,623.85	2,285.67
Deferred tax		63.69	46.13
Deferred tax – Exceptional Item		211.26	–
Total tax expense	30	**2,898.80**	**2,331.80**
Profit after tax		**7,324.73**	**7,708.24**
Profit attributable to non-controlling interest		–	–
Profit for the year		**7,324.73**	**7,708.24**

Consolidated Statement of Profit and Loss (Contd.)

(₹ In Crore)

Particulars	Note No.	For the year ended 31 March 2025	2024
Other comprehensive income			
Items that will not be reclassified to profit or loss			
Actuarial gains/(losses) of defined benefit plans		20.53	33.70
Tax impact on above		(5.06)	(8.58)
Changes in fair value of FVTOCI equity instruments		1,474.17	831.82
Tax impact on above	45m	(268.68)	(93.24)
Items that will be reclassified to profit or loss			
Valuation gains/(losses) on derivative hedging instruments		(32.43)	–
Tax impact on above		8.15	–
Changes in fair value of FVTOCI debt instruments		0.52	–
Tax impact on above		(0.13)	–
Other adjustments – share of associate of subsidiary		(5.87)	(43.69)
Change in foreign currency translation reserve of subsidiary		123.79	25.72
Other comprehensive income (net of tax)		**1,314.99**	**745.73**
Total comprehensive income for the year		**8,639.72**	**8,453.97**
Profit attributable to:			
Owners of the Company		7,324.73	7,708.24
Non-controlling interest		–	–
		7,324.73	**7,708.24**
Total comprehensive income attributable to:			
Owners of the Company		8,639.72	8,453.97
Non-controlling interest		–	–
		8,639.72	**8,453.97**
Earnings per share (in ₹)	31		
Basic Earnings per share (in ₹)		262.4	272.7
Diluted Earnings per share (in ₹)		262.0	272.4
(Nominal value per share ₹ 10)			
Summary of material accounting policies followed by the Group	1		

The accompanying notes are an integral part of the consolidated financial statements

As per our report of even date

For S R B C & CO LLP
Chartered Accountants
ICAI Firm Registration Number: 324982E/E300003

per Paul Alvares
Partner
Membership Number: 105754
Pune: 29 May 2025

On behalf of the Board of Directors

Niraj Bajaj
Chairman
(DIN: 00028261)

Rajiv Bajaj
Managing Director
(DIN: 00018262)

Dinesh Thapar
Chief Financial Officer

Rajiv Gandhi
Company Secretary

Anami N. Roy
Chairman - Audit Committee
(DIN: 01361110)

Consolidated Statement Of Cash Flows

(₹ In Crore)

Particulars	For the year ended 31 March 2025	2024
I. Operating activities		
Profit before tax	10,223.53	10,040.04
Adjustments to reconcile profit before tax to net cash flows:		
Add:		
i) Depreciation and amortisation	414.23	364.77
ii) Loss on property, plant and equipment sold, demolished, discarded and scrapped	2.35	3.12
iii) Provision/Impairment for doubtful debts and advances/loans	142.42	(19.75)
iv) Bad debts written off	6.82	14.89
v) Share based payment to employees	67.32	40.53
vi) Exchange loss/(gain) on cash and cash equivalents	6.71	(0.19)
vii) Exchange loss/(gain) on trade receivables	0.07	(6.17)
viii) Exchange loss/(gain) on import payables	0.51	–
ix) Exchange loss/(gain) on borrowings	16.44	1.35
x) Interest adjustment on Government grant	1.79	1.60
xi) Interest expense (excluding financial services business)	66.30	52.13
	724.96	452.28
Less:		
i) Investment income included in above:		
Interest income on fixed income securities	123.81	195.55
Interest income on fixed deposits	124.78	162.53
Interest income on loans	8.38	–
Interest income on exchange traded funds	436.49	443.19
Interest income on fixed maturity plans	49.55	46.90
Profit/(loss) on sale of other investments, net	31.05	(16.61)
Gain on valuation and realisation of mutual funds measured at fair value through profit or loss	648.28	448.55
Dividend income on other strategic investments	30.10	43.05
Amortisation of premium/discount on acquisition of fixed income securities	1.35	96.50
	1,453.79	1,419.66
ii) Share of profits/(loss) of associate	(915.48)	267.59
iii) Government grants	2.65	2.65
iv) Surplus on sale of property, plant and equipment	3.23	5.87
	(544.19)	(1,695.77)
	10,404.30	8,796.55
Change in assets and liabilities		
i) (Increase)/decrease in inventories	(388.61)	(125.20)
ii) (Increase)/decrease in trade receivables	(51.64)	(308.01)
iii) (Increase)/decrease in loans and other assets	(9,848.16)	(1,210.99)
iv) Increase/(decrease) in liabilities and provisions	1,228.70	1,786.06
	(9,059.71)	141.86
Annuity payments (net) to VRS/Welfare scheme optees	(0.12)	0.01
Net cash flow from operating activities before income tax	1,344.47	8,938.42
Income tax paid	(2,750.04)	(2,386.89)
Net cash flow from/(used in) operating activities	**(1,405.57)**	**6,551.53**
Carried forward	(1,405.57)	6,551.53

Consolidated Statement Of Cash Flows (Contd.)

(₹ In Crore)

Particulars	For the year ended 31 March 2025	2024
Brought forward	(1,405.57)	6,551.53
II. Investing activities		
i) Sale of investments	9,803.85	12,911.48
ii) Purchase of investments	(11,896.59)	(10,546.72)
iii) Sale/(purchase) of liquid mutual funds, etc., net	1,425.49	(2,091.31)
iv) Changes in treasury shares by ESOP trust	51.01	(25.76)
v) (Increase)/decrease in other bank balances	22.88	53.99
vi) Deposits with Banks placed	(2,808.72)	(4,727.45)
vii) Deposits with Banks redeemed	3,424.53	4,336.95
viii) Purchase of property, plant and equipment (including advances)	(813.54)	(706.45)
ix) Sale proceeds of property plant and equipment	6.38	12.15
x) Loans given	(518.68)	–
xi) Expenditure on intangible assets (including under development)	(60.30)	(16.39)
	(1,363.69)	(799.51)
xii) Investment income		
Interest income on fixed income securities	123.81	195.55
Interest income on fixed deposits	124.78	162.53
Interest income on loans	8.38	–
Dividend income on other strategic investments	30.10	43.05
	287.07	401.13
(Increase)/decrease in interest receivable	20.35	54.65
	307.42	455.78
Net cash flow from/(used in) investing activities	**(1,056.27)**	**(343.73)**
Carried forward	(2,461.84)	6,207.80

30 Tax expense

(₹ In Crore)

Particulars	For the year ended 31 March 2025	2024
(a) Tax expense		
Current tax		
Current tax on profits for the year	2,623.85	2,285.67
Deferred tax		
Decrease/(increase) in deferred tax assets	(72.59)	(16.85)
(Decrease)/increase in deferred tax liabilities	347.54	62.98
Total deferred tax expense/(benefit)	274.95	46.13
Tax expenses	2,898.80	2,331.80
(b) Reconciliation of tax expenses and the accounting profit multiplied by India's tax rate		
Profit before tax	10,223.53	10,040.04
Tax at the Indian tax rate of 25.17% (Previous year – 25.17%)	2,573.06	2,526.87
Tax effect of amounts which are not deductible (taxable) in calculating taxable income:		
– Corporate social responsibility expenditure	45.89	33.15
– Rate difference in amortisation of fixed income securities	(0.47)	(2.58)
– Others	7.65	11.55
– One time impact due to change in tax rates *	211.26	–
Tax effect of amounts which are deductible (non taxable) in calculating taxable income:		
– Profits of subsidiaries not taxable in India	226.02	(54.87)
– Dividend received on strategic investment	(7.58)	(10.84)
– Profit on investments not taxable	(153.07)	(28.83)
– Income from fair valuation of mutual funds	(3.10)	(142.73)
– Disallowance of expenditure incurred on rented property (net)	(0.86)	0.08
Tax expense	2,898.80	2,331.80

* [See footnote to note 30 of standalone financial statements]

Notes to consolidated financial statements for the year ended 31 March 2025 (Contd.)

31 Earnings Per Share (EPS)

Basic EPS are calculated by dividing the profit for the year attributable to owners of the Company by the weighted average number of Equity shares outstanding during the year.

Diluted EPS are calculated by dividing the profit attributable to owners of the company by the weighted average number of Equity shares outstanding during the year plus the weighted average number of Equity shares that would be issued on conversion of all the dilutive potential Equity shares into Equity shares.

Particulars	For the year ended 31 March 2025	2024
a. Profit for the year (₹ In Crore)	7,324.73	7,708.24
b. Weighted average number of equity shares for basic earnings per share	279,103,387	282,695,661
Effect of dilution: Employee stock options	511,554	279,457
c. Weighted average number of equity shares for diluted earnings per share	279,614,941	282,975,118
Earnings per share (Basic) ₹ (a/b)	262.4	272.7
Earnings per share (Diluted) ₹ (a/c)	262.0	272.4
Face value per share ₹	10.0	10.0

32 Notes to these consolidated financial statements are intended to serve as a means of informative disclosure and a guide to better understanding of the consolidated position of the companies. Recognising this purpose, the Company has disclosed only such notes from the individual financial statements, which fairly present the needed disclosures.

33 Ratios

Particulars	Remarks	Numerator	Denominator	For the year ended 31 March 2025	2024
(a) Current ratio	Change is because of increase in current assets	Current assets	Current liabilities	1.68	1.30
(b) Debt equity ratio	Change is because of increase in long-term borrowings	Total debt	Shareholder's equity	0.26	0.06
(c) Debt service coverage ratio	Change is because of increase in finance cost	Earnings for debt service	Debt service	2.29	6.71
(d) Return on equity ratio		Profit after tax	Average shareholder's equity	22.8%	26.4%
(e) Inventory turnover ratio		Material cost	Avg. inventory	18.72	19.61
(f) Trade receivables turnover ratio		Revenue from contracts with customers	Avg. trade receivables	23.46	22.87
(g) Trade payables turnover ratio		Purchases	Trade payables	5.99	6.16
(h) Net capital turnover ratio		Total income	Avg. working capital	9.89	12.99
(i) Net profit ratio		Profit after tax	Total income	14.0%	16.6%
(j) Return on capital employed	Change is because of increase in capital employed	Profit before tax	Capital employed	24.0%	33.2%
(k) Return on investments		Profit before tax	Average shareholder's equity	31.9%	34.4%

Notes to consolidated financial statements for the year ended 31 March 2025 (Contd.)

42 Investment in an associate

a. The Group held 47.99% interest in KTM AG, Austria which was swapped for 49.90% stake in Pierer Bajaj AG on 29 September 2021.

Pierer Bajaj AG (formerly: PTW Holding AG) acts exclusively as the holding company of Pierer Mobility AG. The Pierer Mobility Group is Europe's leading 'Powered Two-Wheeler' (PTW) manufacturer with a focus on highly innovative sports motorcycles and electric mobility. With its KTM, HUSQVARNA Motorcycles, and GASGAS motorcycle brands, it is one of the technology and market leaders in Europe, especially when it comes to premium motorcycles.

Pierer Bajaj AG is a private entity that is not listed on any public exchange. The Group's interest is in Pierer Bajaj AG.

The following table illustrates the summarised financial information of the Group's investment in Pierer Bajaj AG (in Euro, which is its functional currency):

(Euro in Million)

Particulars	Pierer Bajaj AG	
	31 Dec 2024	31 Dec 2023
Current assets	1,242.67	1,625.81
Non-current assets	947.51	1,333.83
Assets held for sale and disposal groups	206.66	3.70
Current liabilities	2,328.16	929.77
Non-current liabilities	196.08	1,130.00
Liabilities in connection with assets held for sale and disposal groups	67.23	–
Equity	**(194.63)**	**903.57**
Revenue	1,879.02	2,661.21
Cost of sales	(1,929.98)	(1,977.12)
Gross profit	**(50.96)**	**684.09**
Selling and racing expenses	(299.37)	(289.84)
Research and development expenses	(80.44)	(53.76)
Administration expenses	(197.35)	(185.98)
Other operating expenses	(57.03)	(0.80)
Expenses for impairments	(507.98)	-
Other operating income	17.71	3.74
Share of profit of associates	(9.02)	2.34
Result from operating activities	**(1,184.44)**	**159.79**
Interest income	26.41	11.06
Interest expenses	(124.49)	(74.03)
Other financial result	5.42	(4.62)
Profit before tax	**(1,277.10)**	**92.20**
Tax expense	196.69	(15.72)
Profit for the year (continuing operations)	**(1,080.41)**	**76.48**
Total comprehensive income for the year (continuing operations)	**(1,082.08)**	**63.35**

b. During the year ended 31 March 2025, the Group has recognized a net loss of ₹ 915.48 crore in the consolidated financial statements related to its investment in associate entity, Pierer Bajaj AG (PBAG). This comprises share of loss of ₹ 314.55 crore, accounted for under the equity method, and an impairment loss of ₹ 600.93 crore on the carrying value of net investment in the associate.

The share of loss of ₹ 314.55 crore includes a proportionate share of gain of ₹ 3,075.11 crore recognised by KTM AG pertaining to write back of liabilities, consequent to the creditors meeting dated 25 February 2025, which was part of the financial restructuring process of KTM AG under court approved self-administration proceedings.

The impairment loss of ₹ 600.93 crore has been recognized on the Group's carrying value of net investment in associate forming part of automotive segment based on a computation of value in use pursuant to restructuring of KTM AG which included comprehensive review of the underlying valuation and long-term cash flow projections of operating entity KTM AG. The impairment assessment considered multiple scenarios and incorporated potential downside risks to future performance, including sensitivity to macroeconomic conditions, market demand, and execution of the restructured business plan.

43 Segment information

Segment information is based on the consolidated financial statements.

Segment wise revenue, results and capital employed for the year ended 31 March 2025

The Company's Core Management Committee (CMC), examines the Groups performance both from a product and geographical perspective and has identified three reportable operative business segments. The group's significant source of risk and rewards are derived from Automotive business Investments and Financing business, the performance of which is reviewed by the committee on a periodic basis and hence considered as individual operative segments.

(a) Business segment

(₹ In Crore)

Particulars	Automotive	Investments	Financing	Consolidated
Revenue				
External sales and other income*	49,982.13	1,445.98	1,040.85	52,468.96
Inter segment sales and other income	–	–	–	–
Total revenue	**49,982.13**	**1,445.98**	**1,040.85**	**52,468.96**
* includes Revenue from contracts with customers: ₹ 49,266.95 crore				
Segment result**	8,769.75	1,443.72	78.15	10,291.62
Finance costs	68.09	–	–	68.09
Tax expense	–	–	–	2,898.80
Non-controlling interest	–	–	–	–
Profit for the year	**8,701.66**	**1,443.72**	**78.15**	**7,324.73**
** Components of Statement of profit and loss account like employee benefit expense, depreciation and amortisation expense and other expenses are not separately disclosed, as these are all majorly related to the automative segment of the Company.				
Segment assets	12,061.70	26,135.15	10,972.90	49,169.75
Investments in associate of subsidiary	3,688.27	–	–	3,688.27
Unallocated corporate assets	–	–	–	1,340.59
Total assets	**15,749.97**	**26,135.15**	**10,972.90**	**54,198.61**
Segment liabilities	8,856.16	–	8,636.57	17,492.73
Unallocated corporate liabilities	–	–	–	235.77
Total liabilities	**8,856.16**	**–**	**8,636.57**	**17,728.50**
Capital employed (excluding unallocable)	6,893.81	26,135.15	2,336.33	35,365.29
Capital employed (unallocable)				1,104.82
Total capital employed	**6,893.81**	**26,135.15**	**2,336.33**	**36,470.11**
Reconciliation of segment liabilities				
Total segment liabilities as above				17,728.50
Add: Considered as part of capital employed				
Sales tax deferral				127.64
Deferred tax liabilities				1,123.03
Government grant (current and non-current)				30.69
Total liabilities as per Balance Sheet				**19,009.86**
Capital expenditure	851.12	–	27.82	878.94
Depreciation and write downs	409.30	–	4.93	414.23

(b) Geographic Segment

(₹ In Crore)

Particulars	India	Rest of the world	Consolidated
Segment revenue: External sales and other income	36,185.65	16,283.31	52,468.96
Segment assets	47,770.76	6,427.85	54,198.61
Capital expenditure	825.63	53.31	878.94